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International Islamic University Chittagong
Department of Computer Science and Engineering
B. Sc. Engineering in CSE
Final Examination, Autumn 2024

Course Code: ACC 2401
Time: 2 hours 30 minutes
Course Title: Financial and Managerial Accounting
Full Marks: 50

Answer all the questions. The figures in the right-hand margin indicate full marks.

Part A

1. The trial balance of **Florida Time Share Property** at June 30,2022 the end of the company's fiscal year and adjustment data as follows: CO3 An 10

Florida Time Share Property
Trial balance
June 30, 2022

Particular	Dr(£)	Cr(£)
Cash	3,425	
Accounts receivable	7,000	
Supplies	1,270	
Insurance Prepayment	620	
Office equipment	51,650	
Accumulated depreciation-office equipment		9,700
Salary payable		925
Unearned revenue		1,250
Notes payable		29,000
Capital		36,710
Drawings	5,200	
Service revenue		22,415
Salary expense	30,835	
Total	1,00,000	1,00,000

Adjustment data:
(i) Supplies on hand as at 30 June 2022 totaled £380.
(ii) Insurance premium expired for the year totaled £315.
(iii) Yearly depreciation for office equipment totaled £4,950.
(iv) Salary accrued but yet to be paid as at 30 June is £440.
(iv) Service revenue accrued but yet to be recorded totaled £1,000.
(vi) Unearned revenue as at 30 June totaled £750.

Required: Complete *Florida Time Share Property* worksheet for the year ended June 30, 2022.

2. **Prepare financial Statements from the following Adjusted trial balance.** CO2 An 10

RRR Insurance Agency
Adjusted Trial Balance
For the Month ended October 31, 2021

Accounts	Debit	Credit
Cash	10,400	-
Accounts Receivable	13,810	-
Supplies	340	-
Prepaid Rent	1800	-
Furniture	26,840	-
Accumulated Depreciation- Furniture	-	3,900
Building	68,300	-

101490

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Accumulated Depreciation-Building	-	9,900
Accounts Payable	-	7,290
Salary Payable	-	1,200
Unearned service revenue	-	4,300
Haris's, Capital	-	85,500
Haris's, Withdrawal	4,900	-
Service revenue	-	22,060
Salary expense	3,040	-
Rent expense	900	-
Utilities expense	530	-
Depreciation expense-Furniture	500	-
Depreciation expense-Building	800	-
Supplies expense	1,500	-
Advertisement expense	490	-
Total	1,34,150	1,34,150

OR

2. **TTT Tailoring Service** CO2 An 10

Trial Balance

April 30, 2020

Accounts Title	Debit	Credit
Cash	2,370	-
Accounts Receivable	23,540	-
Supplies	10,570	-
Prepaid Insurance	7,660	-
Equipment	63,930	-
Accumulated Depreciation- Equipment	-	21,730
Building	74,330	-
Accumulated Depreciation-Building	-	15,050
Accounts Payable	-	19,550
Interest Payable	-	-
Wage Payable	-	-
Unearned service revenue	-	8,840
N/P-Long Term	-	69,900
M. Lpoez, Capital	-	46,200
M. Lopez, Withdrawals	47,500	-
Service revenue	-	92,170
Depreciation expense-Equipment	-	-
Depreciation expense-Building	-	-
Wages expense	28,970	-
Insurance expense	-	-
Interest expense	5,890	-
Utilities expense	5,670	-
Property Tax expense	3,010	-
Supplies expense	-	-
Total	2,73,440	2,73,440

Additional data at April 30, 2020:

a. Supplies used during the year Tk.6,880.
b. Prepaid insurance expired during the year, Tk.5,370.
c. Accrued service revenue Tk.2,200.

d. Depreciation for the year: equipment Tk.6,700; building 3,210.
e. Unearned service revenue earned during the year Tk.5,180.

Requirement: Prepare adjusting entries and an adjusted trial balance.

Part B

The following cost and inventory data for the just completed year 19B are taken from the accounting records of AMINS TAILOR Company: CO2 An 10

Particular	$	
Sales commission	35,000	
Utilities, factory	9,000	
Maintenance, factory equipment	24,000	
Supplies, factory	700	
Advertising expense	Student ID	
Direct labor	90,000	
Purchase of raw materials	1,32,000	
Rent, factory building	80,000	
Indirect labor	56,300	
Depreciation – Office equipment	8,000	
Depreciation – factory equipment	40,000	
Inventories:	December 31, 19A	December 31, 19B
Finished goods	7,000	25,000
Materials	8,000	10,000
Work in process	5,000	20,000

Required: Prepare Cost of goods sold statement for the year 19B.

4. GGG door Company sells doors to home builders. The doors are sold for $100 each. Variable costs are $40 per door and fixed costs total $720,000 per year. The company is currently selling 14000 doors per year. CO3 R 10

Required:

i. Compute BEP in sales unit and sales amount.
ii. How many units would have to be sold to earn a minimum net operating income of $240,000?
iii. Prepare a contribution format income statement and compute DOL.
iv. Management is confident that the company can increase sales by 3,500 doors next year. Compute the expected percentage increase in net operating income for next year and also expected total amount of net operating income for the next year. (Do not prepare an income statement, use degree of operating leverage).

5. Peak sales for Midwest Products, Inc. occur in August. The company's sales budget for the third quarter showing these peak sales is given below: CO3 An 10

	July	August	September	Total
Budgeted sales	$600,000	$900,000	$500,000	$2,000,000

From past experience, the company has learned that 20% of a month's sales are collected in the month of sale, that another 70% is collected in the month following sale, and that the remaining 10% is collected in the second month following sale. Bad debts are negligible and can be ignored. May sales totaled $430,000, and June sales totaled $540,000.

Required:
a. Prepare a schedule of expected cash collections from sales. by month and in total, for the third quarter.
b. Assume that the company will prepare a budgeted balance sheet as of September 30. Compute the accounts receivable as of that date.

OR

The production department of ZZZ Corporation has submitted the following forecast of units to be produced by quarter for the upcoming fiscal year: **CO3 An 10**

	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter
Units to be produced	5,000	8,000	7,000	6,000

In addition, the beginning raw materials inventory for the 1st Quarter is budgeted to be 7,000 grams and the beginning accounts payable for the 1st Quarter is budgeted to be $25,000. Each unit requires 10 grams of raw material that costs $2 per gram. Management desires to end each quarter with an inventory of raw materials equal to 35% of the following quarter's production needs. The desired ending inventory for the 4th Quarter is 8,000 grams. Management plans to pay for 80% of raw material purchases in the quarter acquired and 20% in the following quarter.

Required:
Prepare the company's direct materials budget and schedule of expected cash disbursements for purchases of materials for the upcoming fiscal year.

International Islamic University Chittagong
Department of Computer Science and Engineering
B. Sc. Engineering in CSE
Semester Final Exam, Autumn 2023

Course Code: **ACC 2401**
Time: 2 hours 30 minutes

Course Title: **Financial & Managerial Accounting**
Full Marks: 50

(i) The figures in the right-hand margin indicate full marks
(ii) Course Outcomes and Bloom's Levels are mentioned in additional Columns

Course Outcomes (COs), Program Outcomes (POs) and Bloom's Levels (BL) of the Questions		
CO	**CO Statements**	**PO**
CO1	**Explain** the basic concept of financial accounting, cost accounting and management accounting.	**PO11**
CO2	**Analyze** the basic concept of Cost Accounting and preparation of Cost Sheet.	**PO11**
CO3	**Apply** the tools from accounting and cost accounting this would facilitate the decision making i.e. Budgeting, Make or Buy decision.	**PO11**
CO4	**Compare** the different business situations and suggest to best solution with analytical abilities.	**PO11**

Bloom's Levels (BL) of the Questions						
Letter Symbols	**C1**	**C2**	**C3**	**C4**	**C5**	**C6**
Meaning	Remember	Understand	Apply	Analyze	Evaluate	Create

Part A

[Answer the questions from the followings]

1. An inexperienced book-keeper has drawn up an Incorrect and Unadjusted Trial Balance, You are required to Correct/Adjusted Trial Balance. **CO2** **C2** **10**

Asim Manufacuring Co.
Adjusted Trial Balance
as at 30 June 2023

	Dr (Tk)	Cr (Tk)
Bank Account (Cash)	19730	
Receivable	5440	
Equipment	1520	
Insurance Prepayment	4600	
Properties	20000	
Office equipment	3600	
Accumulated Depreciation		600
Payable		1800
Unearned interest revenue		480
Notes payable		15000
Capital		30000
Drawings	8000	
Interest revenue		33680
Salary expense	9050	
Rental expense	3200	
Utility expense	1970	
Supplies expense	4080	
Sundry expense	910	
Interest expense	200	
Rental revenue		240
Salary payable		500
Total	82,300	82,300

Adjustment data:

(i) Equipment on hand at year end Tk. 200.
(ii) Depreciation Office equipment, Tk. 200
(iii) Salaries owed but not yet paid, Tk. 5000
(iv) Accrued interest revenue , Tk. 1300.
(v) Tk. 300 of the unearned service revenue has been earned.

OR

1. Welwash (Pvt.) Ltd. sells washing machines for outright cash as well as on hire-purchase basis. The cost of a washing machine to the company is Rs. 10,500. The company has fixed cash price of the machine at Rs. 12,300 and hire-purchase price at Rs. 13,500 payable as to Rs. 1,500 down and the Trial balance at December 31, 2022 as given follows: CO2

Welwash (Pvt.) Ltd
Trial balance
December 31, 2022

Particular	Dr (Rs.)	Cr (Rs.)
Cash	6000	
Accounts receivable	5000	
Supplies	1000	
Furniture	10000	
Accumulated depreciation- Furniture		4000
Building	50000	
Accumulated depreciation- Building		30000
Account payable		2000
Unearned Service revenue		8000
Salary payable		3000
Common Stock		10000
Retained Earnings		2000
Drawings	25000	
Service revenue		60000
Salary expense	16000	
Supplies expense		
Advertising Expense	3000	
Depreciation expense- Furniture	1000	
Depreciation expense- Building	2000	
Total	119000	119000

Required:

1) Prepare Financial Statement for **Welwash (Pvt.) Ltd**

2. **TTT Tailoring Service** CO3 C4 1(
Trial Balance
April 30, 2020

CO2 C4

Accounts Title	Debit	Credit
Cash	2,370	-
Accounts Receivable	23,540	-
Supplies	10,570	-
Prepaid Insurance	7,660	-
Equipment	63,930	-
Accumulated Depreciation- Equipment	-	21,730
Building	74,330	-
Accumulated Depreciation-Building	-	15,050
Accounts Payable	-	19,550
Interest Payable	-	-
Wage Payable	-	-
Unearned service revenue	-	8,840
N/P-Long Term	-	69,900
M. Lpoez, Capital	-	46,200
M. Lopez, Withdrawals	47,500	-
Service revenue	-	92,170
Depreciation expense-Equipment	-	-
Depreciation expense-Building	-	-
Wages expense	28,970	-
Insurance expense	-	-
Interest expense	5,890	-
Utilities expense	5,670	-
Property Tax expense	3,010	-
Supplies expense	-	-
Total	2,73,440	2,73,440

Additional data at April 30, 2020:

a. Supplies used during the year Tk.6,880.
b. Prepaid insurance expired during the year, Tk.5,370.
c. Accrued Interest expense Tk.2,280.
d. Accrued service revenue Tk.2,200.
e. Depreciation for the year: equipment Tk.6,700; building 3,210.
f. Accrued wage expense Tk.830.
g. Unearned service revenue earned during the year Tk.5,180.

Requirement: Prepare adjusting entries and an adjusted trial balance.

Part B

CO2 C4 10

[3] Prepare a **Cost of Goods Sold Statement** for **Hisham & Sons Company** based on the following information:

Sales discount	$ 1800
Purchase discounts	350
Sales	2,80,000
Purchase returns and allowances	2,150
Depreciation:	
--Machinery (three fifth factory related)	25,000
--Building (two third factory related)	18,000
Factory insurance	5,140
Freight out	2800

Other factory expenses	1,600
Production supervisor salary	5,000
Land	50,000
Bond interest expense	5,000
Indirect Materials	2,350
Sales salaries	10,480
Building Rent (80% production related)	25,000
Freight in	1,500
Direct factory labor	85,500
Materials purchases	42,350
Supplies expense	2,000
Factory Utility expense	3,000
Office salaries	10,600
Advertising expenses	1,200
Indirect Labor	4,350

Inventories:	**January 1, 2018**	**December 31, 2018**
Finished goods........................	$6,000	$4,000
Work-in-process......................	5,000	2,000
Raw Materials.........................	10,000	8,000

[4] Super Sales Company is the exclusive distributor for a revolutionary booking. The product sells for $60 per units and variable expenses per unit $36. The company's fixed expenses are $360,000 per year. CO3 C5 10

Required:

1. What are the Super Sales Company CM ratio?
2. Using the equation method:
   a. What is the break-even point in units and in sales dollars?
   b. What sales level in unit and in sales dollars in required to earn an annual profit of $90,000?
   c. Assume that through negotiation with the manufacturer the Super Sales Company is able to reduce its variable expenses by $3 per unit. What is the company's new break-even point in units and in sales dollars?
3. What are the Super Sales Company MOS and OL?

[5] MMM Corporation manufactures and sells a seasonal product that has peak sales in the third quarter. CO3 C4 10
The following information concerns operations for Year 2—the coming year—and for the first two quarters of Year 3:

- The company's single product sells for $10 per unit. Budgeted sales in units for the next six quarters are as follows (all sales are on credit):

	Year 2				Year 3	
	1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QT
Budgeted unit	60,000	70,000	80,000	90,000	100,000	110,00

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- Sales are collected in the following pattern: 65% in the quarter the sales are made, and the remaining 35% in the following quarter. On January 1, Year 2, the company's balance sheet showed $75,000 in accounts receivable, all of which will be collected in the first quarter of the year. Bad debts are negligible and can be ignored.
- The company desires an ending finished goods inventory at the end of each quarter equal to 20% of the budgeted unit sales for the next quarter. On December 31, Year 1, the company had 15,000 units on hand.

Required:
Prepare the following budgets and schedules for the year, showing both quarterly and total figures:

i. A sales budget and a schedule of expected cash collections.
ii. A production budget.

OR

[5] Peak sales for Midwest Products, Inc. occur in August. The company's sales budget for the third quarter showing these peak sales is given below: CO3 C4 10

	July	August	September	Total
Budgeted sales	$600,000	$900,000	$500,000	$2,000,000

From past experience, The company has learned that 20% of a month's sales are collected in the month of sale, that another 70% is collected in the month of following sale, and that the remaining 10% is collected in the second month following sale. Bad debts are negligible and can be ignored. May sales totaled $430,000, and June sales totaled $540,000.

Required:
a. Prepare a schedule of expected cash collections from sales. by month and in total, for the third quarter.
b. Assume that the company will prepare a budgeted balance sheet as of September 30. Compute the accounts receivable as of that date.

International Islamic University Chittagong
Department of Computer Science and Engineering
B. Sc. in Computer Science and Engineering
Semester Final Exam, Spring 2023

Course Code: **ACC 2401** Course Title: **Financial & Managerial Accounting**
Time: 2 hours 30 minutes Full Marks: 50

(i) The figures in the right-hand margin indicate full marks
(ii) Course Outcomes and Bloom's Levels are mentioned in additional Columns

Course Outcomes (COs), Program Outcomes (POs) and Bloom's Levels (BL) of the Questions			
CO	**CO Statements**	**PO**	**BL**
CO1	**Explain** the basic concept of financial accounting, cost accounting and management accounting.	**PO11**	**C2**
CO2	**Analyze** the basic concept of Cost Accounting and preparation of Cost Sheet.	**PO11**	**C4**
CO3	**Apply** the tools from accounting and cost accounting this would facilitate the decision making i.e. Budgeting, Make or Buy decision.	**PO11**	**C3**
CO4	**Compare** the different business situations and suggest to best solution with analytical abilities.	**PO11**	**C5**

Bloom's Levels (BL) of the Questions						
Letter Symbols	**C1**	**C2**	**C3**	**C4**	**C5**	**C6**
Meaning	Remember	Understand	Apply	Analyze	Evaluate	Create

Group A

[Answer the questions from the followings]

[1] **Amin Electronics Company** CO2 C2 10

Adjusted Trial Balance
as at 31 December 2021

	Dr(£)	Cr(£)
Cash	19130	
Accounts receivable	5440	
Supplies	1520	
Insurance Prepayment	4600	
Land	20000	
Office equipment	3600	
Accounts payable		1800
Unearned interest revenue		480
Notes payable		15000
Capital		30000
Drawings	8000	
Interest revenue		33680
Salary expense	9050	
Rental expense	3200	
Utility expense	1970	
Supplies expense	4080	
Sundry expense	910	
Insurance expense	200	
Rental revenue		240
Salary payable		500
Total	81,700	81,700

Required: Financial statements of **Amin Electronics Company** for the year ended 31 December 2021.

OR

[1] **Arafat and Sons** CO2 C4

Trial balance

December 31, 2022

Particular	Dr (Tk.)	Cr (Tk.)
Cash	6000	
Accounts receivable	5000	
Supplies	1000	
Furniture	10000	
Accumulated depreciation- Furniture		4000
Building	50000	
Accumulated depreciation- Building		30000
Account payable		2000
Unearned Service revenue		8000
Salary payable		
Common Sock		10000
Retained Earnings		2000
Drawings	25000	
Service revenue		60000
Salary expense	16000	
Supplies expense		
Advertising Expense	3000	
Depreciation expense- Furniture		
Depreciation expense- Building		
Total	116000	116000

Following additional data as follows :

Adjustment data:

(i) Supplies on hand at year end, Tk. 200.
(ii) Depreciation on furniture , Tk. 2000
(iii) Depreciation on building , Tk. 1000.
(iv) Salaries owed but not yet paid, Tk. 5000
(v) Accrued service revenue , Tk. 1300.
(vi) Tk. 3000 of the unearned service revenue has been earned.

Required:

1) Prepare adjusting journal entries for given adjustment data.
2) Prepare the adjusted trial balance at December 31, 2022 the end of the company's fiscal year.

[2] **Agape Counseling Center** CO2 C2 10

Trial Balance

May 31, 2018

Sl. No.	Name of Accounts	Debit	Credit
	Cash	Tk.1,670	-
	Notes Receivable	10,340	-
	Supplies	560	-
	Prepaid Insurance	1,790	-
	Furniture	27,410	-
	Accumulated Depreciation- Furniture	-	Tk.1,480

CamScanner

	Building	55,900	-
	Accumulated Depreciation-Building	-	33,560
	Land	13,700	-
	Accounts Payable	-	14,730
	Unearned service revenue	-	6,800
	N/P-Long Term	-	18,700
	R. J. Capital	-	34,290
	R. J. Withdrawal	3,800	-
	Service revenue	-	9,970
	Salary expense	2,170	-
	Utilities expense	490	-
	Property Tax expense	640	-
	Advertisement expense	1,060	-
	Total	**1,19,530**	**1,19,530**

Additional data at May 31, 2018:

a) Accrued salary expense Tk.600.
b) Supplies on hand Tk.410.
c) Prepaid insurance expired during May Tk.390
d) Unearned service revenue earned during May Tk.4,400.
e) Accrued interest revenue Tk.170.
f) Depreciation: Furniture Tk.380; Building Tk.160.

Required: Complete a ten-column worksheet for May.

Group B

[Answer the questions from the following]

[3] The following cost and inventory data for the just completed year 2022 are taken from the accounting records of ALOM MOTORS: **CO2** **C3** **10**

Particular	$	
Sales commission	35,000	
Utilities, factory	9,000	
Maintenance, factory	24,000	
Supplies, factory	700	
Advertising expense	**Student ID**	
Direct labor	90,000	
Purchase of raw materials	1,32,000	
Rent, factory building	80,000	
Indirect labor	56,300	
Depreciation – Office	8,000	
Depreciation – factory	40,000	
Inventories:	December 31,	December 31,
Finished goods	7,000	25,000
Materials	8,000	10,000
Work in process	5,000	20,000

Required: Prepare Cost of goods sold statement for the year 2022.

CamScanner

[4] ABC Door Company sells doors to home builders. The doors are sold for $50 each. Variable costs are $32 per door and fixed costs total $108,000 per year. The company is currently selling 15000 doors per year. CO3 C3

Required:

i. Compute BEP in sales unit and sales amount.
ii. How many units would have to be sold to earn a minimum net operating income of $50000?
iii. Prepare a contribution format income statement and compute DOL.
iv. Management is confident that the company can increase sales by 40% next year. Compute the expected percentage increase in net operating income for next year and also expected total amount of net operating income for the next year. (Do not prepare an income statement, use degree of operating leverage).

[5] The production department of Zan Corporation has submitted the following forecast of units to be produced by quarter for the upcoming fiscal year: CO3 C5 10

	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter
Units to be produced	5,000	8,000	7,000	6,000

In addition, the beginning raw materials inventory for the 1st Quarter is budgeted to be 7,000 grams and the beginning accounts payable for the 1st Quarter is budgeted to be $2,500. Each unit requires 8 grams of raw material that costs $1.50 per gram. Management desires to end each quarter with an inventory of raw materials equal to 35% of the following quarter's production needs. The desired ending inventory for the 4th Quarter is 8,000 grams. Management plans to pay for 70% of raw material purchases in the quarter acquired and 30% in the following quarter.

Required:

Prepare the company's direct materials budget and schedule of expected cash disbursements for purchases of materials for the upcoming fiscal year.

OR

[5] Peak sales for Midwest Products, Inc. occur in August. The company's sales budget for the third quarter showing these peak sales is given below: CO3 C5 10

	July	August	September	Total
Budgeted sales	$600,000	$900,000	$500,000	$2,000,000

From past experience, The company has learned that 20% of a month's sales are collected in the month of sale, that another 70% is collected in the month of following sale, and that the remaining 10% is collected in the second month following sale. Bad debts are negligible and can be ignored. May sales totaled $430,000, and June sales totaled $540,000.

Required:

a. Prepare a schedule of expected cash collections from sales. by month and in total, for the third quarter.

b. Assume that the company will prepare a budgeted balance sheet as of September 30. Compute the accounts receivable as of that date.

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International Islamic University Chittagong
Department of Computer Science and Engineering
B. Sc. Engineering in CSE
Final Exam, Autumn 2022

Course Code: **ACC 2401** Course Title: **Financial and Managerial Accounting**
Time: 2 hours 30 minutes Full Marks: 50

[The figures in the right-hand margin indicate full marks, Answer the questions from the followings]

Part A

1. a) **Smart Touch Learning Company** CO2 U 10

Adjusted Trial Balance
as at 31 December 2019

	Dr(£)	Cr(£)
Cash	19130	
Accounts receivable	5440	
Supplies	1520	
Insurance Prepayment	4600	
Land	20000	
Office equipment	3600	
Accounts payable		1800
Unearned interest revenue		480
Notes payable		15000
Capital		30000
Drawings	8000	
Interest revenue		33680
Salary expense	9050	
Rental expense	3200	
Utility expense	1970	
Supplies expense	4080	
Sundry expense	910	
Insurance expense	200	
Rental revenue		240
Salary payable		500
Total	81,700	81,700

Required: Financial statements of **Smart Touch Learning Company** for the year ended 31 December 2019.

OR

1. a) **Agape Counseling Center** CO2 An 10

Trial Balance
May 31, 2018

Sl. No.	Name of Accounts	Debit	Credit
	Cash	Tk.1,670	-
	Notes Receivable	10,340	-
	Supplies	560	-
	Prepaid Insurance	1,790	-
	Furniture	27,410	-
	Accumulated Depreciation- Furniture	-	Tk.1,480
	Building	55,900	-
	Accumulated Depreciation-Building	-	33,560
	Land	13,700	-

		-	14,730
	Accounts Payable	-	6,800
	Unearned service revenue	-	18,700
	N/P-Long Term	-	34,290
	R. J. Capital	3,800	-
	R. J. Withdrawal	-	9,970
	Service revenue	2,170	-
	Salary expense	490	-
	Utilities expense	640	-
	Property Tax expense	1,060	-
	Advertisement expense		
	Total	1,19,530	1,19,530

Additional data at May 31, 2018:

a) Accrued salary expense Tk.600.
b) Supplies on hand Tk.410.
c) Prepaid insurance expired during May Tk.390
d) Accrued interest expense Tk.220.
e) Unearned service revenue earned during May Tk.4,400.
f) Accrued advertising expense Tk.60.
g) Accrued interest revenue Tk.170.
h) Depreciation: Furniture Tk.380; Building Tk.160.

Required: Complete a ten-column worksheet for May.

2. a) The trial balance of **Cloud Break Consulting Company** at June 30 ,2021, the end of the company's fiscal year and adjustment data as follows: **CO3 U 10**

Adjustment data:

(i) Supplies on hand as at 30 June 2021 totaled £1000.
(ii) Nine months rent £27000 were paid in advance on April 01, 2021.
(iii) Depreciation expense on the building of £12000 has not been recorded.
(iv) Employees work Monday through Friday. The weekly payroil is £5,000 and is paid every Friday. June 30, 2021, is a Monday.
(iv) Service revenue accrued £15,000.
(v) Unearned service revenue as at 30 June totaled £30050.

Int

Cloud Break Consulting Company Trial balance June 30, 2021		
	Dr(£)	Cr(£)
Cash	131000	
Accounts receivable	104000	
Supplies	4000	
Prepaid rent	27000	
Land	45000	
Building	300000	
Accumulated depreciation - building		155000
Accounts payable		159000
Unearned service revenue		40000
Common stock		102000
Drawings	7000	
Service revenue		450000
Salary expense	255000	
Rental expense	25000	
Miscellaneous expense	8000	
Total	906000	906000

Required: Complete **Cloud Break Consulting Company** worksheet for the year ended June30, 2021.

Part B

3. a) Prepare a **Cost of Goods Sold Statement** for **Hisham & Sons Company** based on the following information: CO2 An 10

Sales discount	$ 1800
Purchase discounts	350
Sales	2,80,000
Purchase returns and allowances	2,150
Depreciation: --Machinery (90% factory related) --Building (40% factory related)	 25,000 18,000
Factory insurance	5,140
Freight out	2800
Other factory expenses	1,600
production supervisor salary	5,000
land	50,000
Bond interest expense	5,000
Indirect Materials	2,350
Sales salaries	10,450
Rental Income	2,500
Freight in	1,500
Direct factory labor	85,500
Materials purchases	42,350
Supplies expense	2,000
Utility expense	3,040
Office salaries	10,600
Advertising expenses	1,200

Indirect Labor	4,350

Inventories:	January 1, 2018	December 31, 2018
Finished goods......................	$6,000	$4,000
Work-in-process......................	5,000	2,000
Raw Materials........................	10,000	8,000

4. a) Super Sales Company is the exclusive distributor for a revolutionary booking. The product sells for $60 per units and variable expenses per unit $36. The company's fixed expenses are $360,000 per year. CO3 An 10

Required:

1. What are the Super Sales Company CM ratio?
2. Using the equation method:
   a. What is the break-even point in units and in sales dollars?
   b. What sales level in unit and in sales dollars in required to earn an annual profit of $90,000?
   c. Assume that through negotiation with the manufacturer the Super Sales Company is able to reduce its variable expenses by $3 per unit. What is the company's new break-even point in units and in sales dollars?
3. What are the Super Sales Company MOS and OL?

OR

4. a) Convoy Manufacturing Company sells a single product. The company's sales & expenses for a recent month as follows: CO3 An 10

Particular	Total	Per Unit
Sales	$ 600,000	$ 40
Less: Variable expenses	$ 420,000	$ 28
Contribution margin	$ 180,000	$ 12
Less : fixed expense	$ 150,000	
Net operating income	$ 30,000	

Required:

a) What is the monthly break -event point in units sold & in sales dollars?
b) Without resorting to computation, what is the total contribution margin at the break–even point?
c) How many units would have to be sold each month to earn a minimum target profit of $18,000 & $19,500?
d) Refer to the original data. Compute the companies margin of safety in both Dollar & percentage terms.

5. a) The production department of Zan Corporation has submitted the following forecast of units to be produced by quarter for the upcoming fiscal year: CO3 An 1

	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter
Units to be produced	5,000	8,000	7,000	6,000

In addition, the beginning raw materials inventory for the 1st Quarter is budgeted to be 7,000 grams and the beginning accounts payable for the 1st Quarter is budgeted to be $2,500. Each unit requires 8 grams of raw material that costs $1.50 per gram. Management desires to end each quarter with an inventory of raw materials equal to 35% of the following quarter's production needs. The desired ending inventory for the 4th Quarter is 8,000 grams. Management plans to pay for 70% of raw material purchases in the quarter acquired and 30% in the following quarter.

Required:

Prepare the company's direct materials budget and schedule of expected cash disbursements for purchases of materials for the upcoming fiscal year.

International Islamic University Chittagong

Department of Computer Science and Engineering

B. Sc. in CSE, Final Exam, Autumn 2021

Course Code: **ACC-2401** Course Title: **Financial and Managerial Accounting**

Time: 2 hours 30 minutes Full Marks: 50

(i) The figures in the right-hand margin indicate full marks

(ii) Course Outcomes and Bloom's Levels are mentioned in additional Columns

Course Outcomes (COs) of the Questions	
CO1	Explain & Analyze the basic concept of Financial Accounting.
CO2	Explain & Analyze the basic concept of Cost Accounting.
CO3	Apply tools of Accounting
CO4	Compare different business situations.

Bloom's Levels of the Questions						
Letter Symbols	R	U	App	An	E	C
Meaning	Remember	Understand	Apply	Analyze	Evaluate	Create

Part A

[Answer the questions from the followings]

1. a) The trial balance of Food Klab Restaurant at October 31, 2018 follows, along with the data for the month-end adjustments. CO3 An 10

Account Number	Account Title	Debit	Credit
11	Cash	$ 2,900	
12	Accounts receivable	13,310	
13	Prepaid rent	2,200	
14	Supplies	840	
15	Equipment	36,830	
16	Accumulated depreciation- equipment		$3,400
21	Accounts payable		3,290
22	Salary payable		
23	Unearned service revenue		5,300
31	Capital		37,290
32	Withdrawals	2,900	
41	Service revenue		12,560
51	Salary expense	2,860	
52	Rent expense		
54	Depreciation expense- equipment		
56	Supplies expense		
	Total	$ 61,840	$ 61,840

Adjusting data at October 31:

a. Unearned service revenue still unearned, $700.

d. Depreciation on equipment for the month, $250.

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b. Prepaid rent still in force, $1,000.

c. Supplies used $700.

e. Accrued salary expense, $350.

Required: Enter the trial balance on a work sheet and complete the worksheet of Food klab Restaurant for the month ended October 31, 2018.

Lopez Tailoring Service
Trial Balance
April 30, 2020

CO3 An 10

Accounts Title	Debit	Credit
Cash	2,370	-
Accounts Receivable	23,540	-
Supplies	10,570	-
Prepaid Insurance	7,660	-
Equipment	63,930	-
Accumulated Depreciation- Equipment	-	21,730
Building	74,330	-
Accumulated Depreciation-Building	-	15,050
Accounts Payable	-	19,550
Interest Payable	-	-
Wage Payable	-	-
Unearned service revenue	-	8,840
N/P-Long Term	-	69,900
M. Lpoez, Capital	-	46,200
M. Lopez, Withdrawals	47,500	-
Service revenue	-	92,170
Depreciation expense-Equipment	-	-
Depreciation expense-Building	-	-
Wages expense	28,970	-
Insurance expense	-	-
Interest expense	5,890	-
Utilities expense	5,670	-
Property Tax expense	3,010	-
Supplies expense	-	-
Total	2,73,440	2,73,440

Additional data at April 30, 2020:

a. Supplies used during the year Tk.6,880.
b. Prepaid insurance expired during the year, Tk.5,370.
c. Accrued Interest expense Tk.2,280.
d. Accrued service revenue Tk.2,200.
e. Depreciation for the year: equipment Tk.6,700; building 3,210.
f. Accrued wage expense Tk.830.
g. Unearned service revenue earned during the year Tk.5,180.

Requirement: Prepare adjusting entries and an adjusted trial balance

Or,

The unadjusted trial balance of Gray Electronic Repair Services at December 31, 2017 and the data needed for the month-end adjustments follow.

Adjustment data:

a. Service revenue accrued 280.

b. Accrued utilities expense 1700.

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c. Supplies on hand 500.
d. Depreciation expense 620.

Gray Electronic Repair Services
Unadjusted Trial Balance
December 31, 2017

Account Title	Debit	Credit
Cash	$7480	
Accounts Receivable	3400	
Supplies	1500	
Furniture and Fixtures	3000	
Service Equipment	16000	
Accounts Payable		$9000
Loans Payable		12000
Mr. Gray, Capital		13200
Mr. Gray, Drawing	7000	
Service Revenue		9550
Rent expense	1500	
Salaries expense	3500	
Taxes and Licenses	370	
Totals	$43750	$43750

2. a	Open T-accounts for the accounts listed in the trial balance, inserting their December 31 unadjusted balances.	CO3	U	3
2. b.	Journalize the adjusting entries and post them to the T-accounts. Key the journal entries and posted amounts by letter.	CO3	U	4
2. c.	Prepare the adjusted trial balance	CO3	U	3

Part B

[Answer the questions from the followings]

3. Over the past year REVLON Clipboard manufacturing company sold 40000 clipboards, with the following operating results:

45385

Sales (40000 clipboards)	$1500000
Less variable expenses	900000
Contribution margin	600000
Less fixed expenses	480000
Net operating income	120000

3. a)	***Required:*** Compute the CM ratio, the breakeven point in clipboards, and the degree of operating leverage at last year's level of sales.	CO2	An	3
3. b)	***Required:*** Compute the breakeven point in $ amount and margin of safety.	CO2	An	3
3. c)	***Required:*** Due to an increase in labor rates, the company estimates that costs will increase by $3 per clipboard next year. If this change takes place and the selling price per clipboard remains constant, what will be the new CM ratio and the new breakeven point in clipboards?	CO2	An	4
4.	Prepare a **Cost of Goods Sold Statement for Hisham & Sons Company** based on the following information:	CO2	An	1(

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Depreciation: –Machinery (90% factory related) –Building (40% factory related)	 25,000 18,000
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5. **ABC Door Company sells doors to home builders. The doors are sold for $50 each. Variable costs are $32 per door and fixed costs total $108,000 per year. The company is** currently selling 10000 doors per year. **CO4 R, An 10**

Required:

i. Compute BEP in sales unit and sales amount.

ii. How many units would have to be sold to earn a minimum net operating income of $20000?

iii. Prepare a contribution format income statement and compute DOL.

iv. Management is confident that the company can increase sales by 30% next year. Compute the expected percentage increase in net operating income for next year and also the expected total amount of net operating income for the next year. (Do not prepare an income statement, use the degree of operating leverage).

Or,

5 Write short notes on the following:

Factory Overhead, Accumulated Depreciation, Unearned Revenue, Debit & Credit, and Adjustment. **CO4 U 10**

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